BUSINESS PLANNING: TAXATION & COMPLIANCE

Suggested Answers
May 2026

Answer to Question# 1(a):

Legality of Access and Confidentiality

Under Section 147(1) of the Income Tax Act, 2023, the "authorized authority" possesses extensive powers to verify tax compliance:

- **Access to Digital Data:** Section 147(1)(Ka)(Aa) grants power to access encrypted data in readable format. Crucially, Section 147(1) (Ka)(Shi) explicitly empowers officials to "break passwords" to enter systems.
- **Statutory Overriding:** Statutory powers of search and verification under the Act generally override private Non-Disclosure Agreements (NDAs) or internal privacy policies. The officials are legally permitted to analyze information and take copies/extracts.

Conclusion: ByteSync cannot legally refuse access. Confidentiality is not a valid defense against an authorized statutory verification.

Answer to Question# 1(b):

Consequences of Obstruction (Section 147(2) & (3))

- **Financial Penalty:** Under Section 147(2), if the authorized authority faces any obstruction, hindrance, or non-cooperation, they can impose a penalty of up to BDT 50,00,000 (Fifty Lakh Taka) on the responsible person (Mr. Safwan).
- **Best Judgment Assessment:** Under Section 147(3), if the taxpayer fails to comply, the Deputy Commissioner of Taxes (DCT) can finalize tax assessment to the best of his judgement. This "Best Judgment" assessment usually results in significantly higher tax demands and additional penalties for concealment.

Answer to Question# 1(c):

Time Limitation and Closed Assessments

- **No Specific Time Bar:** Section 147 is a tool for "Verification and Information Gathering" to enforce the Act. Unlike Section 182 (Re-assessment), Section 147 does not contain an internal statutory time bar (like 6 years) for picking up a case for verification.
- **Section 148 (Without Prejudice):** This section clarifies that the power to verify and impose tax under this part shall be applied without prejudice to the power to recover tax through other methods. Therefore, even if an assessment is "closed," the NBR can conduct verification under section 147 and impose tax which was not deducted with penalty @ 2% per month.

Conclusion: The NBR can legally demand documents relating to 8 years before regardless of whether the assessments were previously finalized.

Answer to Question# 1(d):

Sequence of Legal Remedies:

If ByteSync is aggrieved by a subsequent order, the structured legal sequence for appeal is:

- **First Appeal:** File with the Commissioner of Taxes (Appeals) under Section 293 within 45 days of receiving the demand notice.
- **Second Appeal:** File with the Taxes Appellate Tribunal under Section 297 within 60 days of receiving the first appellate order.
- **Reference:** Reference application to the High Court Division under Section 301 within 90 days from receiving tribunal order if a "Question of Law" is involved.
- **Appellate Division:** Final appeal to the Appellate Division of the Supreme Court against the High Court's judgment.

Answer to Question# 2(a):

Option A – Partnership Firm

Computation of Taxable Income of Partnership Firm

Particulars	BDT
Profit before partners' remuneration	14,000,000
Less: Partners' remuneration (150,000 × 12 × 2)	(3,600,000)
Less: Interest on capital (5% × 10,000,000)	(500,000)
Taxable income of partnership firm	9,900,000

Income tax @ 25% comes at taka= 2,475,000
Profit after tax = 7,425,000

Note: Although we know that remuneration and interest paid to partners are not allowable expenditure as per section 55(kha) of ITA, 2026, but in the question paper, it is mentioned that these are allowable expenditure. So, I have no choice other than following the question.

Income in the hands of Each Partner

Particulars	BDT
Remuneration	1,800,000
Interest on capital	250,000
Taxable personal income	2,050,000

Personal tax @ 25% = 512,500/
Net remuneration & interest = 1,537,500
Share of profit (tax-exempt) = 7,425,000 ÷ 2 = 3,712,500
Total net income per partner (Option A):
= 3,712,500 + 1,537,500 = BDT 5,250,000

Answer to Question# 2(b):

Option B – Private Limited Company

Computation of Taxable Income of Company

Particulars	BDT
Profit before directors' salary	14,000,000
Less: Directors' salary (180,000 × 12 × 2)	(4,320,000)
Taxable income	9,680,000

Corporate tax @ 27.5% = 2,662,000
Profit after tax = 7,018,000
Entire profit after tax is distributed as dividend.

Income in the hands of Each Director-Shareholder
(i) Salary income

- Gross salary = 2,160,000
- Tax @ 25% = 540,000
- Net salary = 1,620,000

(ii) Dividend income (Income from financial asset)

Particulars	BDT
Gross dividend (7,018,000 ÷ 2)	3,509,000
Tax @ 25%	877,250
Less: WHT @ 20% [though as per law WHT rate is 10%]	(350,900)
Net tax payable	526,350

Net dividend received = 3,509,000 − 526,350 = 2,982,650

Total net income per person (Option B):
= 1,620,000 + 2,982,650 = BDT 4,602,650

Answer to Question# 2(c):

Comparison and Advice

Particulars	Partnership	Company
Net income per person (BDT)	**5,250,000**	**4,602,650**

Advice: The partnership firm is more tax-efficient as it results in higher net income per person. This is mainly due to exemption of partners' share of profit and lower overall tax incidence, whereas dividend income under the company structure is taxable under the Income Tax Act, 2023, resulting in double taxation.

Therefore, from a tax perspective, the partnership firm is the preferable option.

Answer to Question# 3(a):

The following discrepancies are identified and need to be adjusted:

(a) The tax consultant has not considered wastage sales of BDT 12,00,000 as other income, which is taxable at the regular tax rate 25%.
(b) Promotional expenses in the financial statements include BDT 22,20,000 for a television commercial (TVC), BDT 2,20,000 for advertisement in a local newspaper, and a donation of BDT 4,00,500 to a local mosque adjacent to the factory. As per income tax law, these do not qualify as promotional expenses. Therefore, deduction should not be made for these promotional expenses.
(c) BDT 20,00,000 shall be disallowed on the grounds of non-deduction of tax at source and be treated as special business income u/s 56 and be taxed at regular tax rate 25%.
(d) Subscription to BGMEA shall be an admissible expense, as it is incurred wholly and exclusively for business purposes, and subscription to trade bodies is allowable expenditure.
(e) Since the computation of income will be amended, entertainment expenses will also need to be adjusted accordingly.
(f) The company is a LEED-certified entity. Therefore, it is subject to tax at a reduced rate of 10% not 12%.
(g) Tax deducted at source on cash incentive income shall be treated as final tax. Accordingly, the tax liability on cash incentive income will be BDT 30,000.
(h) Gross receipts of the company shall be BDT 25,89,25,000 (being 80% of sales: BDT 25,66,08,000 + interest: BDT 8,17,000 + cash incentives: BDT 3,00,000 + wastage sales: BDT 12,00,000).
(i) Computation of minimum turnover tax @ 1% on gross receipts is incorrect. As this is the second year of manufacturing operations, the applicable rate would be 0.10% as per provision of section 163(5).
(j) Since the company enjoys a reduced corporate tax rate of 10%, the minimum tax on gross receipts should be computed on a proportionate basis. Accordingly, the effective rate will be 0.04% (0.1% /25%* 10%), resulting in a tax of BDT 103,570.
(k) Regular tax rate shall be 25%, and reduced tax rate is 10%.

Answer to Question# 3(b):

Computation of income and tax liabilities
Garments BD Limited
AY 2025-2026

Net profit before tax as per FS		**2,60,50,000**
Less: Income to be considered separately		
Interest income	8,17,000	
Cash incentive income	3,00,000	
Income from wastage sale	12,00,000	23,17,000
		2,37,33,000
Add: expenses to be considered separately		
Depreciation as per FS	88,00,000	

Entertainment claimed		6,97,000	
Provision for PF		26,60,000	1,21,57,000
			3,58,90,000
Add: Inadmissible expenses			
Excess perquisites		15,00,000	
Consultancy fee without TDS u/s 55(ka)		20,00,000	35,00,000
			3,93,90,000
Less: Admissible expenses			
Depreciation as per 3rd Schedule		1,24,23,000	
Actual payment to PF		24,50,000	1,48,73,000
Income before entertainment expenses			**2,45,17,000**
Entertainment expenses as per rate			5,10,340
Income after entertainment expenses			2,40,06,660
Less: Disallowed exp. u/s 55(a) for consideration u/s 56			20,00,000
Income from business			**2,20,06,660**

Allocation of income:

Income from business	2,20,06,660
Special business income u/s 56	20,00,000
Income from financial assets	8,17,000
Income from other sources (cash incentive)	3,00,000
Income from other sources (wastage sale)	12,00,000
Total income	**2,63,23,660**

Computation of tax liabilities
Garments BD Limited

	Rate	Base amount	Tax amount	Tax liability
Income from business				
[a] Tax u/s 163(2) due to 2nd year	0.10%	25,66,08,000	25,66,080	
[b] Regular tax	10%	2,20,06,660	22,00,666	
Higher one				25,66,080
Income from financial assets				
[a] Tax u/s 163(2) TDS	20%	8,17,000	1,63,400	
[b] Regular tax	25%	8,17,000	2,04,250	
Higher one				2,04,250
Income from other source (cash incentive)				
[a] Tax u/s 163(2)	10%	3,00,000	30,000	
[b] Regular tax	25%	3,00,000	75,000	
TDS is the final tax				30,000
Income from other source (wastage sale)				
Regular tax	25%	12,00,000	3,00,000	3,00,000
[A] Total				31,00,330
[B] Minimum turnover tax u/s 163(5)	0.04%	25,89,25,000		1,03,570
Tax liability (higher one)				**31,00,330**

Tax on special business income u/s 56	25%	20,00,000	5,00,000
Total tax payable			**36,00,330**

Note 1: Under section 56, in case of reduced rated taxpayer, special business income shall only be triggered if expenses are disallowed under section 55(a) of the Income Tax Act, 2023.

Note 2: Advertisement is allowable expenditure but as we don't know whether tax at source was deducted or not, so this expenditure is not considered.

Answer to Question# 3(c):

Tax savings opportunities:

(1) Lower withholding tax:

Tax at 1% has been deducted from the export proceeds under section 123 of the Income Tax Act, 2023. However, this 1% rate is applicable for all exporters, and the same section offers reduced rated tax to be deducted at source upon an application to NBR. Since the tax rate for a LEED certified garments exporter is 10%, whereas normal exporters are subject to tax at 12%, thus an adjustment for source tax should be allowed.

The company may apply for such reduced rate deduction and can obtain deduction at 0.83% (1%/12% × 10%), thereby saving source tax of BDT 436,233 (proceeds25,66,08,000×(1%-0.83%)).

During the financial year, the company has paid BDT 25,66,080 as tax at source under section 123. It is noted that the company's tax at source exceeds the regular tax liability by BDT 3,65,414 (25,66,080 – 22,00,666). Therefore, the company could save tax up to a maximum of BDT 3,65,414.

(2) Tax saving through compliances

From the scenario, it is evident that the company has not been compliant in making payments for consulting fees amounting to BDT 20,00,000, as it failed to comply with the withholding tax requirements. As a result, the company is exposed to additional tax of BDT 5,00,000. This arises due to non-compliance with the provisions of section 55 of the Income Tax Act, 2023, which mandates deduction of tax at source on such payments.

The company should strictly follow the provisions of the Income Tax Act, particularly the withholding tax obligations. Non-compliance leads to disallowance of the expenditure and results in the amount being treated as income, thereby attracting tax at the regular corporate tax rate. Importantly, such tax is imposed in addition to the normal tax liability of the company, increasing the overall tax burden.

Furthermore, tax applicable on special business income is computed separately and cannot be adjusted against any deductions or allowances, even deductions allowable under the Third Schedule are not applicable. Therefore, company can easily save tax costs by strictly maintaining the compliances.

Answer to Question# 4(a):

Calculation of Transfer Pricing (TP) Adjustment

To determine the adjustment, we first back-calculate the actual cost incurred by the Estonian parent and then apply the arm's length markup (6%).

1. **Determine the Parent's Base Cost:**
    a. Total Fee Paid (including 15% markup) = BDT 1,00,00,000

    b. Base Cost = 10,000,000÷1.15
    =8,695,65210,000,000÷1.15
    = 8,695,652

2. **Determine the Arm's Length Price (ALP) using CPM (6% markup):**
    a. ALP = Base Cost + (Base Cost × 6%)

b. ALP = 8,695,652×1.06
=BDT9,217,3918,695,652×1.06
=9,217,391

3. **TP Adjustment (Disallowance):**
   a. Actual Price Paid: BDT 1,00,00,000
   b. Arm's Length Price: BDT 9,217,391
   c. Amount to be added back to Income: BDT 7,82,609

Answer to Question# 4(b):

Compliance Requirements and Thresholds (Section 238 & 239)

- **Accountant's Report (Section 239**): CloudNet BD's refusal to provide a report from a Chartered Accountant is legally valid. According to Section 239, the DCT can only mandate a report from a CA/CMA if the total value of international transactions in an income year exceeds BDT 3 (three) Crore. Since CloudNet BD's total transactions are only BDT 1.5 Crore (1 Cr + 0.5 Cr), they are not obligated to furnish this specific report.
- **Statement of International Transactions (Section 238):** The company is legally non-compliant here. Section 238 requires every person who has entered into an international transaction to file a statement in the prescribed form along with their tax return, regardless of the transaction value.
- **Penalty for Section 238 (Section 278):** Failure to file this statement attracts a penalty of up to 2% of the value of the international transactions (i.e., 2% of 1.5 Crore = BDT 3,00,000).

Answer to Question# 4(c):

The "Benefit Test" for Intra-group Services

To justify the BDT 1 Crore payment and avoid a full disallowance, CloudNet BD must prove:

1. **Actual Rendering:** Documentary evidence (logs, project reports) that the Estonian parent actually performed services.
2. **Economic/Commercial Value:** The service provided a specific benefit that enhanced CloudNet BD's commercial position or helped it earn revenue.
3. **Willingness to Pay:** An independent enterprise in similar circumstances would have been willing to pay an independent provider for these services.
4. **Non-Duplication:** The services are distinct and not already covered by the company's local 20-member IT team.
5. **Not Shareholder Activity:** The fee does not relate to activities performed solely for the benefit of the parent company (e.g., group-level reporting or Estonian regulatory filings).

Answer to Question# 5(a):

Analysis of Eligibility for Zero-Rating:

Under Section 24(10) of the Value Added Tax and Supplementary Duty Act, 2012, a supply of service in favor of goods under a warranty of repair or replacement is considered Zero-Rated (0%) if the following three cumulative conditions are met:

1. **Agreement with a Non-Resident:** The service must be rendered under an agreement with a warrantor who is a non-resident and unregistered person. In the instant case, Philips Global GmbH is German-based and unregistered.
2. **Payment by the Warrantor:** The consideration for the service must be paid by that non-resident warrantor. PMSL is billing Philips Global BDT 2,500,000.
3. **No Charge to the Local Owner:** The service must be provided without imposing any charge on the owner of the goods in Bangladesh. PMSL repaired the machines at Dhaka Cancer Hospital free of charge.

Conclusion: PMSL's warranty service fulfills all the criteria under Section 24(10). Therefore, the service charge billed to the German parent company is a Zero-Rated Supply.

Answer to Question# 5(b):

VAT Treatment for Software AI Upgradation:

The "Software AI Upgrade" requested by the hospital is a distinct economic transaction and does not fall under the "Global Master Service Agreement" for warranty.

1. **Legal Position (Section 35):** According to Section 35 of the Act, when a supply consists of multiple types of goods or services, each must be shown separately. A supply consisting of the characteristics of a single supply cannot be split artificially. However, here the upgradation is an independent Service rendered to a local recipient.
2. **VAT Rate:** This is a taxable supply of service. Since it is not covered by the warranty (which is zero-rated), it attracts the Standard VAT rate of 15% on the BDT 1,000,000 charged to the hospital.
3. **Clubbing Restriction:** PMSL cannot club this with the zero-rated warranty service. Doing so would be an attempt to evade tax on rendering of local service, leading to penalties under Section 85.

Answer to Question# 5(c):

Critical Evaluation of VAT Auditor's Position:

The VAT Auditor's position is legally valid,

In terms of clause (l) of section 46(1) of the VAT and SD Act, input tax credit shall not be allowed if VAT is paid on the purchase of inputs for supply of such prescribed goods or service on which the rate of VAT is below 15% or fixed VAT remain imposed, except for export.

As the rate of output VAT applicable for the referred transaction is neither 15% nor export, hence PMSL is not legally entitled to claim the BDT 3000,000 import VAT as a rebate.

Answer to Question# 5(d):

Documentation and Advance Tax (AT) Adjustment:

Documentation Failures:

1. **Mushak-6.3:** PMSL failed to issue a Tax Invoice (Mushak-6.3) to Philips Global GmbH. Even for zero-rated services, the issuance of a 6.3 is mandatory under Section 51
2. **Record Keeping:** Relying solely on a Proceed Realization Certificate (PRC) is insufficient for VAT compliance.

Procedure for Advance Tax (AT) Claim:

Under Section 31(3) and Rule 19, the BDT 150,000 paid as AT should be treated as a Decreasing Adjustment.

- PMSL must report this in Sub-form note-30 under Part-6 (Decreasing Adjustments) of the Mushak-9.1 return.
- The adjustment must be claimed in the return for January 2026 or within the next six tax periods.
- PMSL must keep the respective Bill of Entry (Goods Declaration) bearing its BIN as proof of payment of AT at import stage.

Answer to Question# 6(a)(i):

Comparative Profit Statement (per unit)

Comparative Profit Statement (BDT per unit)

Particulars	Truncated VAT Regime (7.5%)	Standard VAT Regime (15%)
Selling price (VAT inclusive)	120.00	120.00
Less: Output VAT (see Note 1)	(8.37)	(15.65)
Net sales (ex-VAT)	111.63	104.35
Cost of goods sold (see Note 1)	(85.00)	(73.92)
Administrative & selling expenses	(9.20)	(8.00)
Profit per unit in BDT	17.43	22.44
Profit per unit in %	**15.61%**	**21.50%**

Working Notes – 1

Output VAT:

- Truncated VAT @ 7.5% = 120 × 7.5 / 107.5 = BDT 8.37
- Standard VAT @ 15% = 120 × 15 / 115 = BDT 15.65

COGS under Standard VAT Regime (ex-VAT):

Particulars	VAT-inclusive	VAT @15%	Cost ex-VAT
Imported raw materials	55	7.17	47.83
Packing materials	12	1.57	10.43
Local services	8	1.04	6.96
Utilities & overheads	10	1.30	8.70
Total	**85**	**11.08**	**73.92**

Administrative & Selling Expenses (ex-VAT): = 9.20 × 100 / 115 = BDT 8.00

Profit increases under standard VAT due to availability of full input tax credit despite higher output VAT.

Answer to Question# 6(a)(ii):

Comparative Gross VAT Outflow Statement & Commentary

VAT Cash Flow to Government (per unit)

Particulars	Truncated VAT (7.5%) in BDT	Standard VAT (15%) in BDT
Output VAT collected	8.37	15.65
Less: Input VAT credit	Nil	(11.08 + 1.20)
Net VAT payable to Government	8.37	3.37
Gross VAT cash flow including VAT on purchase of materials, services and overhead	8.37 + 12.28 = 20.65	3.37 + 12.28 = 15.65

Input VAT Credit under Standard VAT Regime

- COGS input VAT: BDT 11.08
- Admin & selling expenses VAT: 9.20 − 8.00 = BDT 1.20
- Total input VAT credit: BDT 12.28

Commentary:
Impact on BluePeak's profitability:
Under the truncated VAT regime, all input VAT was embedded in cost, reducing margin. With the introduction of the standard VAT regime and full input tax credit, BluePeak's profit per unit increases from BDT 17.43 (15.61%) to BDT 22.44 (21.50%), even though the VAT-inclusive selling price remains unchanged.
Impact on consumers:
Consumers are not adversely affected, since the maximum retail price remains constant. The benefit of VAT reform is absorbed at the business level rather than passed on to consumers.

Government revenue and VAT neutrality:
Although gross output VAT increases, the Government's net per-unit VAT collection declines under the standard regime due to input tax credits. However, the system becomes economically neutral, eliminates cascading, improves transparency, and aligns with the core principles of a modern VAT system.

Answer to Question# 6(b):

A. Output VAT			
Particulars	**Base Value (BDT)**	**VAT Rate**	**Output VAT (BDT)**
Output Sales:			
Local Sales (Standard)	15,000,000	15%	2,250,000
Exempted Sales (Medical Equip.)	3,000,000	-	0
Export Sales (Malaysia)	5,000,000	0%	0
Reduced Rate Sales (Bulbs)	2,000,000	5%	100,000
Repair Service (Local)	1,000,000	15%	150,000
Reverse Charge Liability on Import of Service [Note-1]	1,250,000	15%	187,500
Total Output Tax (A)	**27,250,000**		**2,687,500**

B. Total Input Tax Credit (Rebate)			
Admissible Input Items	**Total VAT Paid**	**Admissibility**	**Admissible VAT Base**

Domestic Raw Materials (15% VAT)	1,200,000	Admissible	1,200,000
Import VAT on Components	600,000	Admissible	600,000
Import of Service VAT (Reverse Charge)	187,500	Admissible	187,500
Factory Office Rent (15% VAT) [Note-2]	45,000	Ineligible	0
Showroom Rent (15% VAT) [Note-2]	30,000	Ineligible	0
Office Furniture (15% VAT) [Note-2]	150,000	Ineligible	0
Total Input Tax Credit (Rebate) (B)			**1,987,500**

C. Increasing Adjustments:			
VDS on Procurement (Security Firm)	500,000	15%	75,000
Inadmissible Input Tax Credit (Apportionment) [Note-3]			382,196
Total Increasing Adjustments (C)			**457,196**

D. Decreasing Adjustments		
Particulars	**Amount (BDT)**	**Logic / Time-Bar Check**
VDS Certificate	100,000	**Eligible** (5th Period) [Note-4]
VDS Certificate (Jan 2026 Repair Service)	150,000	Current Adjustment
Advance Tax (AT) - Current Import	80,000	Current Adjustment
Total Decreasing Adjustments (D)	**330,000**	

Net Tax Payable for January 2026	
Summary Description	**Amount (BDT)**
Total Output Tax (A)	2,687,500
Less: Total Input Tax Credit (B)	(1,987,500)
Add: Total Increasing Adjustments (C)	457,196
Less: Total Decreasing Adjustments (D)	(330,000)
Net VAT Payable for the Tax Period	**827,196**
Less: Closing balance of December 2025	(50,000)
Less: Treasury Deposit (January 2026) [Note-5]	(700,000)
Final Net VAT Payable to Government	**77,196**

Working Notes:

Note-1 (Grossing Up Service Import): Since the contract is "Net of Taxes," the base value must be grossed up. Calculation:

Net payment amount	1,000,000
Grossed up value with 20% AIT (1,000,000/(1-0.2))	1,250,000
Applicable VAT @ 15% (1,250,000*15%)	187,500

Note-2 (Ineligible Inputs): Under Section 2(18A) of the VAT and SD Act, VAT paid on rent for offices (including factory office) and show-rooms and furniture are specifically excluded from "Inputs", hence not eligible for rebate as per section 46 of the VAT and SD Act**.**

Note-3 (Apportionment Ratio): Eligible for Rebate: Standard Sales (15M) + Export (5M) + Service (1M) = 21,000,000. Reduced rate sales (5% bulbs) are excluded from the numerator under Section 46(1)(l).

Note-3: Calculation of proportionate Input Tax Credit [Note-3]:			
Total Sales (T)	26,000,000		
Taxable Sales (t)	21,000,000		
Apportionment Factor (t/T)	80.77%		
Final Admissible Input Tax Credit			1,605,304
Final Inadmissible Input Tax Credit	19.23%		382,196

Note-4: Per Section 50(2), adjustments must be claimed in the month of receipt of payment or within subsequent 6 periods. Since payment was received in August 2025, January 2026 is the subsequent 5th period (Sep, Oct, Nov, Dec, Jan), making it eligible.

Note-5: In terms of clause (d) of section 46(3) of the VAT and SD Act, treasury challan in support of deposit of tax shall have to keep in possession for claiming input tax credit against import of service.

Accordingly, it is assumed that total treasury deposit of BDT 700,000 for January 2026 includes the separate treasury deposit of BDT 187,500 against the import of service.

Answer to Question# 7(a)(i):

Procedure to determine correct HS classification and duty structure

ABC Foods Ltd. should follow the following step-by-step procedure to determine the correct HS classification and applicable customs duty-tax structure:

1. Examination of nature and composition of the goods
   The company should obtain complete technical details of the imported composite powder, including ingredients, proportions, physical characteristics, and intended industrial use, as classification depends on the objective characteristics of goods at the time of import.
2. Application of the General Rules for Interpretation (GRI)
   Classification should be determined by applying the GRI to the Harmonised System, particularly:
   - GRI 1 – classification based on heading terms and chapter notes; and
   - GRI 3 – applicable for composite goods or mixtures.
3. Reference to Chapter Notes and HS Explanatory Notes
   Relevant Section and Chapter Notes and HS Explanatory Notes should be examined to confirm inclusion or exclusion of the product under competing headings.
4. Verification against Bangladesh Customs Tariff Schedule
   Once the correct HS Code is identified, the company should verify the applicable rates of Customs Duty, Regulatory Duty, Supplementary Duty, VAT, Advance Tax and Advance Income Tax from the relevant sources.
5. Review of concessionary provisions and exemptions
   The company should examine relevant SROs and exemption notifications to assess whether the product qualifies as an industrial raw material eligible for concessional or exempt duty, subject to conditions.
6. Use of official clarification mechanisms
   To mitigate future disputes, ABC Foods Ltd. may seek **Advance Ruling** from the National Board of Revenue as allowed under the Customs Act 2023 and maintain proper documentation for audit purposes.

Answer to Question# 7(a)(ii):

Legal consequences of incorrect classification or declaration
Incorrect classification, mis-declaration, or wrong payment of duties and taxes may result in the following consequences under the Customs Act, 2023:

1. Recovery of short-levied duties and taxes
   Customs authorities may reassess the import and recover short-paid duties and taxes along with interest.
2. Imposition of penalties and fines
   Monetary penalties may be imposed for mis-classification, under-declaration, or violation of customs provisions.
3. Confiscation of goods
   In cases involving serious contravention or intent to evade duty, the imported goods may be liable to confiscation, with or without redemption fine.
4. Post-clearance audit and compliance risk
   Incorrect declaration may trigger post-clearance audit, increased scrutiny of future imports, and reputational damage.

Answer to Question# 7(b)(i):

Related Persons and Price Acceptance

- **Definition [Rule 2(d)]:** Persons are related if:
  (i) they are officers/directors of one another's businesses;
  (ii) they are legally recognized partners;
  (iii) they have an employer-employee relationship;

(iv) one person directly/indirectly owns 5% or more of the voting stock of both;
(v) one controls the other;
(vi) both of them are controlled by third person;
(vii) both of them jointly control any third person;
(viii) one is the sole agent, sole distributor or sole concessionaire in other business; or
(ix) they are members of the same family.

- **Acceptance of Price:** The transaction value between related persons is accepted if:
  1. The importer demonstrates that the relationship did not influence the price.
  2. The price closely approximates the value of identical/similar goods sold to unrelated buyers in Bangladesh at or about the same time.

Answer to Question# 7(b)(ii):

Calculation of Assessable Value (Deductive Method)

Step	Particulars	Calculation	Amount (BDT)
1	Local Selling Price (Inclusive)	Given	12,000.00
	(-) Profit, Commission & Exp.	12,000 × 15%	(1,800.00)
	(-) Local Transport/Insurance	Given	(150.00)
	Value including Import Taxes	**(1 - 2 - 3)**	**10,050.00**

Step 2: Deducing the Aggregate Tax Factor (Total Tax Incidence - TTI)

To find the Assessable Value (AV), we must determine the cumulative impact of all taxes.
Assume AV = 1.0000.

Tax Head	Basis of Calculation	Rate	Factor Impact
Customs Duty (CD)	AV	25%	0.2500
Regulatory Duty (RD)	AV	3%	0.0300
Supp. Duty (SD)	(AV + CD + RD) = 1.28	20%	0.2560
VAT	(AV + CD + RD + SD) = 1.536	15%	0.2304
AIT	AV	5%	0.0500
Advance Tax (AT)	(AV + CD + RD + SD) = 1.536	5%	0.0768
Total Tax Factor	**(Sum of all factor impacts)**		**0.8932**

Step 3: Final Calculation of Assessable Value (AV)

The formula to derive the AV from the tax-inclusive value is:

$$AV = \frac{\text{Value including Duties/Taxes (Step-1)}}{1 + \text{Total Tax Factor}}$$

$$AV = \frac{10{,}050}{1 + 0.8932}$$

$$AV = \frac{10{,}050}{1.8932}$$

AV=BDT 5,308.47 per bottle
(Customs Value in USD = 5,308.47/ 120 = USD 44.28. This is significantly higher than the declared USD 20.)

Answer to Question# 7(b)(iii):

Provisional Assessment [Section 93 of Customs Act 2023]

- **Procedure:** If the value cannot be immediately determined, FWBL can request for a Provisional Assessment.
- **Release of Goods:** The goods can be released if FWBL pays the duty based on their declared value and provides a Bank Guarantee or other security for the differential amount between the declared value and the Customs' assessed value subject to the acceptance of the Customs Authority.
- **Finalization:** The Customs Authority must finalize the assessment within the period prescribed by the Board (usually 120 working days).

---The End---